

amended Rule 612, it is also reducing the level of the preexisting access fee caps in Rule 610(c) in order to prevent the price distortions that would occur if access fees were able to be set at more than half of the minimum pricing increment (i.e., a protected quotation with an access fee that exceeds half the minimum pricing increment economically would be represented at the next less aggressive pricing increment).<sup>397</sup> A 10 mil access fee cap is sufficiently below the smallest minimum pricing increment (i.e., \$0.005) so as to not create new pricing distortions.<sup>398</sup>

Second, in adopting the 10 mil access fee cap, the Commission also considered the impact of the reduction on the agency market business model. A 10 mil access fee cap is at a level that will allow the exchanges to maintain their current net capture for executions of NMS stocks priced \$1.00 or greater.<sup>399</sup>

The 10 mil access fee cap also should help to reduce distortions and complexities under the fee structures that have developed under the preexisting access fee caps levels.<sup>400</sup> As discussed above, under the preexisting access fee caps, many exchanges charge access fees at or near the highest permitted levels under preexisting Rule 610(c) as a means to fund rebates.<sup>401</sup> Access fees charged at the highest level permitted under the preexisting rule and the rebates they fund harm price transparency because the displayed price does not accurately reflect the

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<sup>397</sup> See Proposing Release, supra note 11, at 80290. See also infra notes 1423 - 1424 accompanying text and section VII.D.2.a. As discussed in greater detail below, the amendments to Rule 612 do not include the proposed \$0.001 minimum pricing increment, as proposed. Therefore, although the Commission proposed a 5 mil access fee cap to correspond to the \$0.001 minimum pricing increment, the 5 mil access fee cap is not necessary because the Commission is not adopting the proposed \$0.001 minimum increment. See infra section IV.D.1.a.

<sup>398</sup> See infra section VII.D.2.a.

<sup>399</sup> See infra sections IV.D.1.c and VII.D.2.b.

<sup>400</sup> See infra sections IV.D.1.c. and IV.D.1.d.

<sup>401</sup> See Proposing Release, supra note 11, at 80288. See also infra sections IV.D.1.b. and VII.C.2.c, specifically Table 4. While Rule 610(c) limits the fees assessed against an incoming order that executes against a resting protected quote, it does not address the rebates that may be paid.

underlying economics of a decision to post a protected quotation at a particular price (i.e., the market participant's assessment of the price of liquidity for the security is distorted by the subsidy provided by the rebate), or to access a protected quotation at a particular price (i.e., the displayed price does not reflect the additional cost of the access fee).<sup>402</sup> The negative impact on price transparency is exacerbated when various exchanges have different fees and rebates and make frequent updates to those rates, making the comparison of net prices unnecessarily complex and difficult.<sup>403</sup>

Further, reducing the level of the access fee caps to the adopted levels will reduce complexity in the market because it will (1) reduce the incentives to use certain complex order types that are designed to avoid high fees/garner large rebates, (2) potentially reduce the number of fee changes in the market and accompanying frequent changes to complex order routing strategies, and (3) may discourage further market fragmentation.<sup>404</sup> Reducing the amount of rebates by reducing the access fee caps to 10 mils also will reduce the magnitude of potential conflicts of interest in the market.

Finally, in determining to adopt the 10 mil access fee cap, the Commission has considered input from commenters, including market participants. Commenters stated that the reduced 10 mil access fee cap will better reflect current market rates and the increased

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<sup>402</sup> See infra section VII.D.2.a.

<sup>403</sup> See infra note 1096 and adjacent text and section VII.C.2.c, Table 4 (analyzing fee and rebate schedules and stating the current structure of fees and rebates is complex and constantly changing).

<sup>404</sup> See infra section VII.D.2.d.

efficiencies from electronic trading and other market structure changes, all of which have reduced trading costs since Rule 610 was originally adopted.<sup>405</sup>

In addition, the Commission is retaining the uniform access fee cap structure whereby the access fee caps are assigned based solely upon the price of the protected quotation. In other words, the Commission is adopting the 10 mil access fee cap for all protected quotes priced \$1.00 or more. Maintaining the preexisting uniform structure of the access fee caps helps ensure that the requirements under Rule 610(c) do not increase the fee structure complexity or introduce unintended consequences (such as oscillations) that would create additional costs for market participants.<sup>406</sup>

Further, the Commission is also reducing the level of the access fee cap for NMS stocks priced under \$1.00 to 0.1% of the quotation price in order to maintain the preexisting structure as well as to harmonize that cap with the adopted 10 mils cap for NMS stocks priced at \$1.00 or more. The harmonization will prevent different fees on quotes above and below \$1.00 that could negatively impact price formation.<sup>407</sup> These considerations are consistent with the analysis and rationale the Commission used when it adopted the access fee caps in 2005.<sup>408</sup>

Lowering the access fee caps to these levels and maintaining the preexisting uniform structure will promote the statutory objectives of fair and efficient access to protected quotes and will help to ensure the fairness and usefulness of protected quotations<sup>409</sup> because the amended

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<sup>405</sup> See, e.g., Better Markets Letter I at 16; Brandes Letter at 3; Ontario Teachers et al. Letter at 1-2; IEX Letter IV at 7-8; Verret Letter III at 5-6; Letter from John Ramsay, Chief Market Policy Officer, Investors Exchange LLC, dated Apr. 19, 2024 (“IEX Letter VI”) at 4. See also supra IV.D.1 (discussing comment letters).

<sup>406</sup> See infra section VII.D.2.d.

<sup>407</sup> See infra section VII.D.2.c.

<sup>408</sup> See generally, Regulation NMS Adopting Release, supra note 4.

<sup>409</sup> Section 11A(c)(1)(B) of the Exchange Act. See Regulation NMS Adopting Release, supra note 4, at 37545.

access fee caps will lead to transaction pricing that is better aligned with today’s market dynamics.<sup>410</sup> Recalibrating the level of the caps will yield savings for investors and help to address distortions in the markets while maintaining the ability of the trading centers that display protected quotations to continue to provide execution services, innovate and compete because they will be able to retain the same fees (net of any rebates) for executions that are priced \$1.00 or more,<sup>411</sup> notwithstanding the reduction of the fee cap to 10 mils.<sup>412</sup> The Commission has balanced the competing interests of reducing the cap to address the amendments to Rule 612 and market distortions associated with the fee/rebate models that have developed under the preexisting fee caps, with the importance of preserving the viability of multiple agency market business models. The amended 10 mils access fee cap will lead to improved market quality because it will reduce distortions in the market and preserve the integrity of displayed prices, which will support sufficient price discovery, and will reduce costs for investors.<sup>413</sup>

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<sup>410</sup> See *infra* section VII.D.2.b. As discussed below, the level of the adopted access fee cap for protected quotes in NMS stocks priced \$1.00 or more is consistent with the current level charged by some trading centers that do not post protected quotes and therefore are not subject to the preexisting access fee caps under Rule 610(c). Specifically, the fees charged by some ATSs for execution services are often in the range of 10 mils for access to their liquidity. See *infra* note 1118 and accompanying text and *infra* section VII.C.2. This level reflects a competitive rate for providing access to liquidity, and hence represents a reasonable level for amending the access fee caps for protected quotes. See also e.g., Goldman 2018 Letter at 4 (stating “a reduction of the Fee Cap to \$0.0010 per share is reasonable and would be better calibrated with today’s market pricing.”). According to one commenter, while the “overwhelming proportion of transaction volume executed on national stock exchanges is subject to the maximum access fee of 30 mils . . . volume executed on ATS’s and other venues outside of exchanges is typically subject to substantially lower costs of access, in the range of ten mils and lower.”). IEX Letter IV at 8.

<sup>411</sup> See also *infra* sections VII.C.2 and VII.D.2, and Table 14. As discussed below, the Commission estimates for purposes of this release that exchange net capture is 2 mils while also recognizing that net capture can range from approximately 2 to 6 mils. See *infra* note 1103.

<sup>412</sup> See *infra* section IV.D.1.c. See also Proposing Release, *supra* note 11, at 80290-91.

<sup>413</sup> See *infra* section VII.D.2. See also Proposing Release, *supra* note 11, at 80292 and at 80309 (stating because “compensation is above what would exist in a competitive market there is an increased incentive to provide liquidity via limit orders, so queues of limit orders tend to be longer, wait times to get a limit order executed also tend to be longer, and, thus the likelihood that the market moves away from an investor’s limit order increases, leading to lower overall fill rates for limit orders”) and at 80329 (stating “[t]he primary beneficiaries of the reduction in the access fee cap would be liquidity demanders. For stocks with

## 1. Comments on Proposed Rule 610(c)

Many comments from a broad cross section of market participants supported the need to reduce the access fee caps in preexisting Rule 610(c).<sup>414</sup> Many individual commenters stated that the reduced access fee caps would help to reduce trading costs.<sup>415</sup> One individual commenter stated “[a]s a retail trader, I have experienced the high costs of access fees, which can be a significant portion of my trading costs. The proposed reduction in access fee caps will help to lower my costs, which will allow me to take advantage of more trading opportunities and ultimately benefit from a more efficient market.”<sup>416</sup> Other commenters also stated that a reduction in the access fee caps would reduce trading costs for investors.<sup>417</sup>

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narrow spreads such as tick-constrained stocks, a 30 mil access fee can increase the cost of demanding liquidity by as much as 60%. Consequently, reducing the access fee significantly reduces the cost of demanding liquidity in the predominant maker-taker trading environment. This effect coupled with the expected decrease of liquidity suppliers can be expected to decrease competition to provide liquidity. Less competition to provide liquidity means that queue lengths could decrease and fill rates increase because it would be easier to get to the front of the order book. This effect could allow non high frequency traders - more opportunity to fill orders using liquidity-providing instead of liquidity-demanding transactions.”). See also IEX Letter IV at 2, 6-8.

<sup>414</sup> See, e.g., IEX Letter IV at 1; IEX Letter VI at 1; Better Markets Letter II at 1; We The Investors Letter dated Mar. 30, 2023 at 2; Letters from Chris Robinson, dated Mar. 3, 2023; William Bledsoe, Jr., dated Feb. 28, 2023; Ryan Macarthur, dated Feb. 24, 2023; Julio Tello, dated Feb. 24, 2023; David Genco, Jr., dated Feb. 24, 2023; John, dated Feb. 23, 2023; Citigroup Letter at 3; BlackRock Letter at 10-11; Better Markets Letter I at 16; ASA Letter at 5; Vanguard Letter at 2; Invesco Letter at 2; JPMorgan Letter at 6; Ontario Teachers et al. Letter at 1-2; Budish Letter at 1; Mark Rogers Letter, dated Mar. 30, 2023; Grant Medford Letter, dated Mar. 30, 2023; Jared Albert Letter, dated Mar. 28, 2023; Steven Tripari Letter (“Tripari Letter”), dated Mar. 28, 2023; Peter McKornack Letter, dated Mar. 29, 2023; Verret Letter III at 26.

<sup>415</sup> See, e.g., Julio Tello, dated Feb. 24, 2023; Ryan Macarthur, dated Feb. 24, 2023; David Genco, Jr., dated Feb. 24, 2023; John, dated Feb. 23, 2023; Budish Letter at 1.

<sup>416</sup> Julio Tello, dated Feb. 24, 2023.

<sup>417</sup> See, e.g., Ontario Teachers et al. Letter at 2; Brandes Letter at 3; Boston Partners, Calamos Advisors, Glenmede Investment, and Janus Henderson Letter.

Some commenters stated that the proposal would enhance transparency<sup>418</sup> and would reduce complexity.<sup>419</sup> As discussed above, the reduced access fee caps will enhance transparency of protected quotes and reduce complexity in the market by reducing the need for complex order types that have developed to accommodate the fee/rebate models.

Among the commenters that supported a reduction in the access fee caps,<sup>420</sup> several stated that the amendments to Rule 612 to reduce tick sizes would necessitate a reduction in the access fee caps for those securities assigned a smaller tick,<sup>421</sup> while many others stated that the preexisting access fee cap should be lowered to 10 mils per share for protected quotations in all NMS stocks priced at \$1.00 or more regardless of whether there was a reduction in tick size.<sup>422</sup> As discussed below, the Commission has decided to maintain the uniform access fee cap structure and continue to apply the caps to all protected quotes based on price. The Commission has decided that reducing the caps for all protected quotes, not just those that may be assigned the smaller \$0.005 minimum pricing increment, is appropriate to address the distortions that exist

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<sup>418</sup> See, e.g., Grant Medford Letter, dated Mar. 30, 2023; Verret Letter III at 24; BlackRock Letter at 10-11.

<sup>419</sup> See, e.g., Budish Letter at 1; Boston Partners, Calamos Advisors, Glenmede Investment, and Janus Henderson Letter.

<sup>420</sup> See, e.g., IEX Letter IV at 1; MEMX Letter at 22; Biotechnology Innovation Organization Letter at 1; Brandes Letter at 3; Letter from Allison Bishop, President, Proof Services LLC, dated Mar. 31, 2023 (“Proof Letter”) at 1; BlackRock Letter at 10-11; Verret Letter I at 1, 2 and 4; MFA Letter at 13.

<sup>421</sup> SIFMA Letter II at 39; Invesco Letter at 4; Nasdaq Letter I at 19; Better Markets Letter II at 3-4.

<sup>422</sup> IEX Letter IV at 1; IEX Letter I at 6 and 21; Better Markets Letter I at 16; Better Markets Letter II at 4; Ontario Teachers et al. Letter at 2; Brandes Letter at 3; Boston Partners, Calamos Advisors, Glenmede Investment, and Janus Henderson Letter (supporting Brandes’ Letter); Healthy Markets Letter I at 24; Themis Letter at 7-8; Letter from Andrew Hartnett, President and Deputy Commissioner, Iowa Insurance Division, North American Securities Administrators Association, Inc., dated Mar. 31, 2023 (“NASAA Letter”) at 1 and 9; ASA Letter at 5; Vanguard Letter at 6; JPMorgan Letter at 6; Capital Group Letter at 4; Pragma Letter at 7; Invesco Letter at 4; Verret Letter I at 8; XTX Letter at 5; Letter from Jeffrey P. Mahoney, General Counsel, Council of Institutional Investors, dated Mar. 30, 2023 (“Council of Institutional Investors Letter”) at 3; BMO Letter at 3; and BlackRock Letter at 10-11.

in the national market system. Further, maintaining the uniform structure will help to ensure that the rule does not increase complexity in the national market system.

Several commenters stated that modifications to reflect the significant evolution in market conditions since the caps were established almost two decades ago are long overdue.<sup>423</sup> One commenter stated that the current access fee caps are “antiquated.”<sup>424</sup> Another commenter stated that the access fee caps are “outdated” and “counter to the interests of long term investors.”<sup>425</sup> The Commission is reducing the access fee caps to accommodate the amendments to Rule 612. Further, retaining a uniform access fee cap structure will benefit the market by introducing less complexity and help to address market distortions that have arisen under the current fee caps. The current market structure has experienced significant changes in trading dynamics and operates under a fee structure that is different from when Rule 610(c) was adopted and problematic for the reasons articulated throughout this release. As discussed above and in the Economic Analysis, the amendment modernizes Rule 610(c) to reflect current trading dynamics and mitigate distortions associated with the preexisting caps while preserving its original objectives.

Some individual commenters recommended that the proposal be modified to go further to address distortions in the market related to the current fee and rebate models.<sup>426</sup> A few

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<sup>423</sup> See, e.g., IEX Letter IV at 5; Brandes Letter at 3; Citigroup Letter at 5; BlackRock Letter at 10-11; DOJ Letter at 5; Harris Letter at 1; BMO Letter at 4.

<sup>424</sup> IEX Letter IV at 5. See also IEX Letter III at 5.

<sup>425</sup> Brandes Letter at 3.

<sup>426</sup> See, e.g., Tripari Letter, dated Mar. 28, 2023; Francisco Gil, dated Mar. 28, 2023; We The Investors Letter dated Mar. 30, 2023 at 7; Adam Abreu, dated Apr. 30, 2023 at 2; Michael Dudek, dated Mar. 31, 2023 at 4; Larry Douglas, dated Apr. 1, 2023 at 1 and 3; We The Investors Letter I dated Mar. 15, 2023; Betty Waters Letter, dated Mar. 31, 2023; Harris Letter at 1 & 4.

commenters stated that the access fee caps should be eliminated entirely.<sup>427</sup> One commenter stated that “competitive forces should inform access fees.”<sup>428</sup> Another commenter stated that the “solution is to let brokers take fees into consideration in their order routing . . . and route to the market with the best all-in costs,” which would obviate the need for the Commission to “get into the price control business.”<sup>429</sup>

While some commenters suggested that access fees be further reduced or eliminated altogether, the Commission is not eliminating fees for access to protected quotes. Rule 610(c) establishes limits on the amount of fees that can be charged for access and when the Commission adopted Rule 610(c), the Commission recognized that agency market trading centers have historically relied, at least in part, on charging fees for access. Eliminating or prohibiting access fees entirely would unduly harm the business model of agency market trading centers by not allowing them to collect fees for the execution services they provide.<sup>430</sup> As discussed below, the national securities exchanges are the only trading centers at this time that display protected quotations and they should be able to continue to charge for the execution services they provide.<sup>431</sup>

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<sup>427</sup> See Cboe Letter II at 2 and 8; Angel Letter at 7.

<sup>428</sup> Cboe Letter II at 2 and 8. See also Angel Letter at 7.

<sup>429</sup> See Angel Letter at 7.

<sup>430</sup> See Regulation NMS Adopting Release, supra note 4, at 37544-45 (stating the Commission considered market participants’ views stating that agency markets must be allowed to charge access fees for their services, as well as those that stated that access fees distort quotation prices and should be banned. In adopting the 30 mil access fee cap, the Commission recognized that “agency trading centers perform valuable agency services in bringing buyers and sellers together, and that their business model historically has relied, at least in part, on charging fees for execution of orders against their displayed quotations.” The Commission concluded that “prohibiting access fees entirely would unduly harm this business model.”). See infra sections VII.C.2.b and VII.D.2.b.

<sup>431</sup> Id. See also infra section IV.D.1.c.



However, while recognizing the importance of the agency market business model to the national market system, in adopting the access fee caps the Commission also was mindful that “[a]ccess fees tend to be highest when markets use them to fund substantial rebates to liquidity providers, rather than merely to compensate for execution services” and artificially high access fees (i.e., those that are used primarily to fund rebates) can undermine price discovery because “the published quotations of such markets would not reliably indicate the true price that is actually available to investors or that would be realized by liquidity providers.”<sup>432</sup>

Further, notwithstanding commenters’ statements to the contrary, the access fee caps continue to be necessary in order to support the objectives of fair and efficient access to protected quotations, which “is necessary to support the integrity of the price protection requirement established by the adopted the Order Protection Rule.”<sup>433</sup> In adopting Rule 611, the Commission stated that strong intermarket price protection offers greater assurance that investors who submit market orders will receive the best readily available prices for their trades.<sup>434</sup> Rule 611 was designed to “strengthen the protection of displayed and automatically accessible quotations in NMS stocks.”<sup>435</sup> The Commission recognized that such objectives could be undermined if “outlier” markets could charge high fees to market participants who would be required to pay such high fees to access a protected quotation because of Rule 611. The comments that suggest eliminating the access fee caps and allowing a consideration by brokers

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<sup>432</sup> See Regulation NMS Adopting Release, supra note 4, at 37545.

<sup>433</sup> See Regulation NMS Adopting Release, supra note 4, at 37502-37503 (stating “protecting the best displayed prices against trade-throughs would be futile if broker-dealers and trading centers were unable to access those prices fairly and efficiently.”) See also IEX Letter V at 2 (stating proposal is designed to “prevent high fees from undermining Regulation NMS’s price protection privileges afforded to exchanges”).

<sup>434</sup> See Regulation NMS Adopting Release, supra note 4, at 37501.

<sup>435</sup> See Regulation NMS Adopting Release, supra note 4, at 37501.

of all-in costs or relying solely on competition, do not address the concern that led to the adoption of the access fee caps, namely that outlier markets would take advantage of Rule 611 by imposing high fees for access.<sup>436</sup> The access fee caps remain necessary for the reasons they were adopted.

Some commenters stated that the Commission should act to prohibit rebates.<sup>437</sup> While in many cases rebates are funded by the access fees that are collected, Rule 610(c) does not apply to rebates.<sup>438</sup> The Commission is adopting amendments to Rule 610(c) to reduce the access fee caps for the reasons discussed herein, but is not expanding its application to apply to rebates or to eliminate them.<sup>439</sup> The adopted amendments to Rule 610(c) maintain fidelity to the original objectives of the rule, but recalibrate the fee cap amounts to reflect current market structure. As a practical matter, however, the reduced access fee caps in amended Rule 610(c) will likely reduce the rebates paid<sup>440</sup> and, as a result, the amended access fee caps will reduce the distortions created by the existing fee structures that use access fees as a means to fund the payment of rebates in the market.<sup>441</sup>

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<sup>436</sup> See supra note 355 and accompanying text.

<sup>437</sup> See, e.g., Steven Tripani, dated Mar. 28, 2023; Michael Dudek, dated Mar. 31, 2023 at 4; Betty Waters Letter dated Mar. 31, 2023. One commenter suggested that the Commission should prohibit or restrict the use of CADV-tiers. We the Investors Letter, dated Mar. 30, 2023 at 7. As discussed below, the Commission is adopting Rule 610(d) as proposed which will enhance the transparency of fees and rebates, including fees that may be tiered. The Commission notes that it continues to assess volume-based exchange transaction pricing. See Securities Exchange Act Release No. 98766 (Oct. 18, 2023), 88 FR 76282 (Nov. 6, 2023) (proposing new rule 6b-1 under the Exchange Act, which would prohibit exchanges from offering volume-based transaction pricing in connection with the execution of agency or riskless principal orders in NMS stocks) (“Fee Tiers Proposal”). As discussed below, Rule 610(d) will provide certainty regarding the amount of the fee to be assessed and the rebate to paid at the time of the time of the trade, which is separate and distinct from the Commission’s consideration of other regulatory action regarding volume-based transaction pricing. See infra section IV.E.

<sup>438</sup> See supra section IV.B.2. See also infra section IV.D.1.b.

<sup>439</sup> See infra note 590 and accompanying text.

<sup>440</sup> See infra section VII.C.2.

<sup>441</sup> See infra section IV.D.1.b and VII.D.2.